

You may have other ideas about your living space. But to retire, you should know exactly what your needs are. That way you can search for a place that has the essentials and not one thing more.

I recently heard a banker give a talk on mortgage-loan policy. In the 1970s his bank had a rule that no more than 25 percent of income could go toward housing costs. If the monthly payments were more than that, the bank wouldn't make the loan. Now the bank makes loans to people who spend 35 or 40 percent or more on housing costs.

So what do they cut out of their budgets to pay for their homes? "We've looked into that," the banker said. "We've found that people go out to dinner less, and that they go to cheaper restaurants. They rarely go to the movies. They stay at home during vacation time and on holidays. With a big color TV, VCR, swimming pool, large backyard, and maybe a tennis court, who needs to leave home?"

My mentor, Harriet—you met Harriet in chapter 3—agrees: "I'm so busy during the year I don't have time to relax at home. When August comes I head for my backyard rather than the beach. I swim and play ball with my kids. At night we rent a movie and watch it in the living room. Or maybe I read *The Ascent of Man* or something else I never have time for. And I'm close to the office. I get my mail every day, return phone calls, catch up on business reading. On weekends I can entertain clients."

When you retire at age 35 this scenario changes. You no longer need a spacious refuge at the end of a grueling day because you have easy, fun-filled days. You no longer need a special place to spend August with your kids because you have time for your kids all year long. You no longer need a formal area to entertain clients because you don't have any clients. You no longer need an office at home; you don't need an office at all.

When you work, your home becomes the center of your personal life. When you retire, your home is almost an